

Chapter 1. Portrait of the General Ukrainian Car Market: Pragmatism, Commerce, and the Legacy of the Past

If we reduce all macro indicators to a single common denominator, the average car on Ukrainian roads is a 14-year-old gray station wagon or sedan of European origin. However, deep structural features are hidden behind this general facade.

Market Leaders and Body Utility

- **Top-4 brands:** The absolute leaders of the Ukrainian car market are undoubtedly Volkswagen, Renault, Mercedes-Benz, and Toyota. They form the backbone of both the private and commercial fleets.
- **Body types:** Station wagons and sedans hold an absolute advantage. Ukrainians traditionally choose versatility, buying a single vehicle capable of covering all the needs of a family or a small business.

Color Segmentation and Hidden Insights

- **Standard palette:** The overall market is highly conservative — basic gray, white, and black colors dominate, ensuring the highest liquidity upon resale.
- **Insight into white color:** Deep data filtering shows that among white cars, the Renault brand holds an absolute majority. This is a direct confirmation of the use of this brand in corporate fleets, delivery services, and logistics, where white is the standard for branding commercial vehicles.
- **Color anomalies:** An analysis of non-standard colors (blue, red, beige, green) reveals an unexpected leader — the VAZ brand. This is an echo of the outdated fleet from the Soviet and post-Soviet era, when the choice of color at the factory was dictated not by market demand but by the availability of paint, and these colored cars still actively circulate in the secondary market.

Heavy Commerce and Two-Wheeled Transport

- **Tractor units:** In the segment of large-scale trunk logistics, the market is highly consolidated, with European giants DAF and MAN confidently holding the largest share.
- **Motorcycle market transformation:** The two-wheeled transport market demonstrates entirely different trends compared to the car market. The top three leaders here consist of Mustang, Lifan, and Spark. Although the name Mustang might be associated with American automotive classics, in the Ukrainian motorcycle market, it is a popular brand of affordable Chinese motorcycles. The dominance of Lifan, Mustang, and the Ukrainian brand Spark underscores a global trend: a rapid increase in the share of Chinese vehicles and local Ukrainian-assembled models (Spark) in the budget segment, which are displacing used Japanese motorcycles.

Chapter 2. The Market of Cars Purchased by Legal Entities

Market Structure and Priorities

- **Emphasis on new cars:** Unlike the general market, where used cars dominate, the business segment prefers "zero" mileage and a warranty. The primary market accounts for 44,000 cars, while the secondary market stands at 35,000. This indicates that companies more frequently buy new vehicles for their fleets rather than purchasing used equipment.

Fuel Preferences: Diesel is the King of Logistics

- **Diesel fuel:** Businesses choose savings over long distances and high torque. Diesel occupies the absolute majority — 60.56% (81.27K cars).
- **Gasoline:** Used much less frequently — 27.81% (37.31K cars).
- **Alternative sources:** Gasoline/gas (4.68%) and hybrids (4.5%) hold small shares, indicating their low popularity in the commercial sector.

Popular Brands and Models

- **Primary market leaders:** Renault Duster is the undisputed leader, having become the universal choice for field operations, mobile brigades, or sales representatives.
- **Commercial transport:** Renault Master and Renault Express hold high positions, facilitating logistics and goods delivery.
- **Corporate sector:** Toyota Camry and Skoda Octavia remain popular choices for management and office needs.
- **Heavy machinery:** The list includes trucks (e.g., Volvo FH, Scania R450, DAF XF), although their quantity in units is smaller compared to passenger cars.

Regional Analysis and Age Strategy

- **Extreme centralization:** The business segment demonstrates a colossal gap between the capital and the regions. Kyiv is the absolute leader, where the number of business cars (over 50,000 units) is several times higher than in any other region. The Kyiv region takes second place (about 10,000 cars), followed by the Dnipropetrovsk, Lviv, and Odesa regions. This indicates that major business logistics and corporate headquarters are concentrated precisely in these hubs.
- **Priority on "freshness":** Age group data reveals the service policies of companies. For the market leader (Renault Duster), the vast majority of vehicles in business ownership fall into the 0-4 years category. For businesses, this means a period of minimal expenses when the car only requires accessories and scheduled maintenance.
- **Efficiency limit:** Popular corporate models (Skoda Octavia, Toyota Camry, Renault Express) transition into the "8+ years" category (overhaul/budgeting phase) much less frequently than they remain in the up to 4 or up to 8 years segments. In Kyiv, the share of new cars (0-4 years) is visibly the largest, while regional logistics more frequently utilize cars aged 8+ years.

Chapter 3. General Portrait of a New Car

A typical new car leaving the dealership is a practical vehicle in a basic conservative color (gray, white, or black), which remains in the operation of its first owner for an average of 1 to 3 years. The new car market is characterized by clear segmentation, where the choice of fuel drastically depends on the selected brand.

Key Insights

- **Color conservatism:** New car buyers avoid risks as much as possible when selecting a color. The top 3 colors (gray, white, black) form the absolute majority of sales regardless of the brand. Bright colors lag significantly behind, and yellow or purple are almost unrepresented in the market.
- **The "Big Three" brands:** Three sales leaders clearly stand out in the new car market — Toyota, Renault, and Volkswagen. They occupy the lion's share of the market, satisfying the needs of both private individuals and the corporate sector. They are followed by Skoda, Nissan, and premium brands (Audi, BMW).
- **Fuel types:** The choice of engine is almost entirely dictated by the specifics and positioning of a particular brand.

Deep Insights by Brand

- **Toyota (Total hybridization):** The brand has made a successful transition to alternative energy sources. More than half of all new Toyota cars are hybrids (54.73%). Traditional gasoline (21.77%) and diesel (21.29%) engines occupy significantly smaller shares. This indicates that customers purposefully choose fuel economy and eco-friendliness.
- **Renault (King of diesel and commerce):** The sales picture for Renault is entirely different — diesel fuel dominates here, accounting for 78.29% of all new cars. Gasoline accounts for only 18.84%. Furthermore, the color white carries significantly more weight than for other brands. This directly confirms that a large portion is purchased by the B2B segment as commercial transport, where white is the standard for branding, and diesel is the key to profitable logistics.
- **Nissan (Balance of technologies):** Sales are almost perfectly balanced between gasoline (31.2%), hybrids (~30%), and electric vehicles (27.11%). Diesel occupies a meager 7.73%. Owners of urban electric cars (such as the Nissan Leaf) tend to keep the car in one pair of hands longer, as the median car age is 3 years, and the average is 5 years, which is higher than the figures for other brands.

Chapter 4. Structure of Operations in MIA Service Centers

The pie chart clearly shows the global structure of the Ukrainian automotive market through the prism of MIA (Ministry of Internal Affairs) services.

Global Structure

- **Resale:** Constitutes the absolute majority — 57.65% (1.16 million operations), which confirms that the market survives primarily through the internal circulation of used cars.
- **Import of used cars:** Ranks second with a rate of 22.54% (450 thousand operations).
- **New cars:** Account for only about 6% of the total number of operations, underscoring the population's low purchasing power regarding vehicles straight from the dealership.

Breakdown of the Most Popular Services

- **Classic re-registration:** The most popular operations are re-registration to a new owner via an agreement at the Territorial Service Center (over 541 thousand) and via a sale-purchase agreement (almost 470 thousand). A physical visit to the service center remains the primary method of registration.
- **Digitalization of services:** Re-registration through electronic services (for example, via the Diia app) occupies a significant 4th place (almost 209 thousand operations). This indicates a high level of trust in digital government services.
- **Appointment of a proper user:** This operation is in 3rd place (over 254 thousand times). This is a direct consequence of the operation of automatic traffic violation recording systems, ensuring that camera fines are sent to the actual drivers.

Seasonality: When is the Market Most Active?

- **Peak activity (May):** A sharp jump is observed (up to 300 thousand operations); high activity also persists in April. This is usually associated with preparations for the summer season, vacations, or the traditional spring economic revival.

- **Decline (December):** The last month of the year shows the lowest activity (about 100 thousand operations). People tend to postpone purchases until the post-holiday period or wait for the "new year" of the car's production.

Specific Market Insights

- **Transport for military needs:** The share of these operations at the MIA is visually small (less than 5%), as most volunteer cars are placed on direct military registration (black license plates), bypassing civilian service centers.
- **August 2024 anomaly (Artificial hype):** The operations count graph shows a clear spike in imported cars in August (30k operations instead of the usual 25k) — a classic example of artificial hype (panic demand).
 - **Reason:** In July, the Cabinet of Ministers submitted a bill (No. 11416) introducing a 15% military tax on the first state registration of passenger cars (including imported ones), expecting it to launch on September 1.
 - **Reaction:** This tax meant a colossal financial burden (for example, an overpayment of over \$2,000 for a car worth \$15,000). Everyone who had planned a purchase sharply accelerated the process: car dealers swept everything available from warehouses, and importers cleared cars through customs as quickly as possible to beat the deadline.
 - **Result:** August became a record month — Ukrainians registered over 25.7 thousand imported used cars, which is almost 30% more than the previous month. Ultimately, the government abandoned the idea of this tax, replacing it with other taxes, but the market had already managed to generate this anomalous peak.

Specific Recommendations by Economic Sector

1. To Car Dealers and Importers (B2C and B2B)

- **Quotas:** When purchasing new cars for the mass market (B2C), 70% of the budget should be allocated to gasoline and hybrid Toyota/VW models in gray, white, and black colors. This guarantees the fastest return on investment.
- **Working with corporate clients (B2B):** To participate in tenders or direct sales to companies, a dealer must have a large stock of white diesel Renault cars (Duster, Master) in their warehouses. Offering other configurations to businesses is unprofitable.

2. To Service Station Networks and Parts Distributors

- **Base inventory:** The lion's share (up to 80%) of the warehouse must be filled with consumables for 14-year-old European station wagons (VW, Renault, Skoda). This is the most massive client base that generates daily cash flow.
- **HR policy (Modernization):** Given the insight regarding Nissan and the general trend toward hybridization (Toyota), service stations urgently need to invest in personnel training. Stations lacking auto electricians with clearance for high-voltage systems will lose up to 20-30% of new car clients in the coming years.
- **Military segment:** Allocate a separate procurement line (reinforced suspensions, aggressive tires) for used diesel pickup trucks that serve the needs of the frontline and volunteers.

3. To Insurance Companies and Marketing

- **Advertising seasonality:** Maximum marketing expenditures for promoting services (lending, insurance, detailing) should fall in March-April. This will allow businesses to

capture the client before the absolute purchase peak in May. In December, advertising budgets should be minimized.

- **Digital integration:** Since almost 209 thousand re-registration operations occur via electronic services, it is critical for insurance companies to have API integration to sell online policies right at the moment of digital re-registration.